

The Omnibus Package

Implications, Challenges and Opportunities



Table of Contents

Executive Summary	2
Background and key drivers of change	3
a) Key Components of the Omnibus I Package	3
b) Key objectives of Omnibus I for boosting EU competitiveness	4
c) Alignment with Broader EU Regulatory Framework	4
Key regulatory changes proposed	5
a) Corporate Sustainability Reporting Directive (CSRD)	5
b) EU taxonomy	7
c) Corporate Sustainability Due Diligence Directive CSDDD	8
d) Carbon Border Adjustment Mechanism (CBAM)	9
e) Investment Opportunities through EU Programs	10
Key implication for business of Omnibus	11
Leading a strategic opportunity for companies	12
Best practices	12
a) Steps businesses should take to ensure compliance	12
b) Strategic approach for companies to report on CSRD & CSDDD	13
c) Leveraging data management and ESG analytics for regulatory alignment ...	14
Future outlook of the Omnibus legislative process	15
References and further reading	16

Executive Summary

The European Commission published Omnibus proposal on February 26, 2025, a groundbreaking package of proposals aimed at simplifying EU rules, boosting competitiveness, and unlocking additional investment capacity for businesses. This package, known as the 'Omnibus' initiative, marks a major step forward in creating a more favourable business environment to help European companies grow, innovate, and create quality jobs.

The Omnibus Package marks a significant regulatory shift in the European Union's corporate sustainability framework, introducing key amendments to existing directives such as the Corporate Sustainability Reporting Directive (CSRD) and the Corporate Sustainability Due Diligence Directive (CSDDD). The package is designed to streamline compliance obligations, reducing administrative burdens while maintaining the EU's ambitious sustainability goals. The revisions aim to simplify sustainability reporting, limit trickle-down effects on smaller businesses, and enhance legal clarity for companies operating within the EU.

By aligning the EU's competitiveness and climate goals, the Omnibus proposal focuses on reducing administrative burdens aiming for a 25% reduction across all businesses and 35% for SMEs. The package brings together key legislative reforms in the fields of sustainable finance reporting, sustainability due diligence, the EU Taxonomy, the carbon border adjustment mechanism, and European investment programs. With the goal of supporting policy priorities, the proposals aim to save businesses an estimated €6.3 billion annually in administrative costs and mobilize up to €50 billion in additional public and private investment capacity.

The Omnibus package proposes a reduction in reporting obligations, suggesting that large companies with fewer than 1,000 employees would be exempt from mandatory CSRD requirements. Additionally, it proposes revisions to the due diligence requirements under the CSDDD, limiting compliance to direct business partners unless clear risks are identified within a company's broader value chain. Furthermore, the proposal suggests modifications to the EU Taxonomy framework, allowing certain companies to opt for more flexible sustainability disclosures, particularly when their activities are only partially aligned with the EU's environmental criteria. These proposed changes are still subject to approval.

The Omnibus package present both challenges and opportunities for businesses operating within the EU. Companies must navigate evolving compliance landscapes while leveraging the streamlined regulations to enhance competitiveness and attract investments. If sustainability reporting becomes increasingly voluntary further down the value chain, businesses that continue investing in sustainability must demonstrate their value to stakeholders, including their customers, investors, and affected communities. The potential benefits that proposal brings a better risk management, increased returns from sustainable opportunities, and stronger market positioning through enhanced stakeholder trust. Over time, these advantages could support more meaningful disclosures, enabling sustainable businesses to showcase their contributions to market opportunities and access the lower-cost sustainable financing.

Background and key drivers of change

The Omnibus package was introduced to simplify and consolidate the European Union's sustainability reporting and regulatory framework. It emerged as a response to growing concerns about the complexity and inconsistencies within existing EU sustainability legislation, particularly the Corporate Sustainability Reporting Directive (CSRD), Corporate Sustainability Due Diligence Directive (CSDDD), and the EU Taxonomy.

In September 2024, Mario Draghi's report, *The Future of European Competitiveness*, identified key areas where the EU could strengthen its competitiveness, particularly in industrial decarbonization and emerging technologies. The report highlighted inconsistencies in EU sustainability reporting obligations, noting that they often lacked coherence and imposed unnecessary complexity on businesses.

Recognizing these challenges, European Commission President Ursula von der Leyen announced in November 2024 that the Commission was considering consolidating the CSRD, CSDDD, and the EU Taxonomy into a single Omnibus regulation. The following month, in December 2024, EU member states, industry leaders, and civil society shared diverse recommendations on how best to streamline these regulations. Momentum continued in January 2025, when Germany and France voiced their concerns and called for a simplification and postponement of the CSRD, reinforcing the urgency for a more business-friendly regulatory approach.

With the start of its new five-year mandate, the European Commission introduced the Competitiveness Compass, committing to an "unprecedented simplification effort". This initiative set concrete targets to reduce reporting burdens by at least 25% for all companies and 35% for SMEs. By streamlining sustainability regulations, the Omnibus package aims to enhance European competitiveness, reduce regulatory complexity, and support businesses in the clean transition, ensuring that sustainability rules align with economic growth and investment priorities.

a) Key Components of the Omnibus I Package

- **Stop-the-clock Directive (COM(2025)80):** Proposes the delay in the implementation of CSRD and CSDDD, enabling companies with more time to comply.
- **Substantive Changes Directive (COM(2025)81):** Proposes key amendments to CSRD and CSDDD: It suggests the Commission to simplify the European Sustainability Reporting Standards (ESRS). Strengthening links between CSRD, CSDDD, and the EU Taxonomy to ensure consistency.
- **CBAM Regulation Amendment (COM(2025)87):** Proposes the CBAM Regulation to ease compliance burdens especially for smaller market players.
- **Draft Delegated Act on Taxonomy Disclosures:** Proposes changes to the Taxonomy Disclosures, Climate, and Environmental Delegated Acts. It opens for public consultation until March 26, 2025.

By addressing these regulatory burdens, the package seeks to mobilize investment for the clean transition, ensuring that sustainability rules align with investor needs while mitigating their impact on SMEs

b) Key objectives of Omnibus I for boosting EU competitiveness

- Simplifying EU rules and reducing burdens by cutting administrative requirements for businesses and SMEs, streamlining sustainability reporting and due diligence.
- Enhancing competitiveness and investment by unlocking public and private funding while making the EU more business friendly.
- Aligning climate and economic goals by supporting the European Green Deal, reducing compliance complexity, and focusing on large companies with high environmental impact.
- Reducing complexity for businesses by simplifying CSRD, CSDDD, CBAM, and EU Taxonomy, easing SME compliance while maintaining sustainability objectives.
- Enhancing growth and innovation by lowering annual costs, attracting more investment for business to prioritize growth and job creation.

c) Alignment with Broader EU Regulatory Framework

The EU Omnibus Package is closely integrated with several key EU policies aimed at enhancing sustainability, corporate governance, and financial transparency while reducing administrative burdens on businesses. As a core component of the Budapest Declaration on the New European Competitiveness Deal, the package contributes to the EU's broader goal of cutting regulatory burdens by at least 25% by mid-2025. However, the proposed simplifications of key EU regulations remain subject to approval by the EU Parliament and its member states.

One of its primary alignments is with the European Green Deal, which sets the goal of making Europe the first climate-neutral continent by 2050. It intends to reduce corporate sustainability reporting and due diligence requirements and ensures that businesses can comply with environmental policies without excessive regulatory complexity. It also proposes simplification of the CSRD by reducing reporting obligations for SME and extending implementation timelines, making compliance more manageable. Additionally, the package proposes to refine the CSDDD by focusing due diligence requirements on direct suppliers and limiting trickle-down effects on SMEs.

The EU Taxonomy Regulation is also proposed for simplification, as the Omnibus Package introduces an "opt-in" model for certain companies, making it easier for businesses to voluntarily report their sustainability data without being subjected to mandatory requirements.

Beyond sustainability-focused policies, the Omnibus Package aligns with economic and trade-related frameworks. It proposes to simplify administrative processes under the Carbon Border Adjustment Mechanism (CBAM), ensuring that businesses face fewer bureaucratic hurdles while adhering to carbon pricing rules on imports. In the financial sector, it supports the objectives of the Capital Markets Union (CMU) by making capital markets more accessible to smaller businesses and aligning corporate sustainability disclosures with the Sustainable Finance Disclosure Regulation (SFDR). Overall, the Omnibus Package aims to balance sustainability objectives with economic competitiveness, ensuring that businesses can adapt to evolving EU policies with greater efficiency and clarity.

Key regulatory changes proposed

This section will provide a detailed overview of the key amendments that Omnibus package proposes to simplify key EU regulatory frameworks.

a) Corporate Sustainability Reporting Directive (CSRD)

The CSRD was introduced with the objective of improving sustainability reporting to help stakeholders to evaluate the sustainability performance of companies to foster the transition towards a fully sustainable and inclusive European economy under the European Green Deal and UN Sustainable Development Goals. The CSRD mandates companies to disclose comprehensive information on their Environmental, Social and Governance (ESG) impacts.

Omnibus package proposes for change to the CSRD are significant and aim to reduce the compliance burden on smaller companies; and simplify the process and disclosure requirements for companies still in scope. The Proposed revisions in substantive change directive to the CSRD aimed at refining reporting requirements and reducing the regulatory burden on certain companies.

Revised Reporting Thresholds:

The threshold for large undertakings has been adjusted to more than 1,000 employees on average and either a turnover exceeding EUR 50 million or a balance sheet total of more than EUR 25 million, raised from the previous threshold of 250 employees. This applies to both listed and non-listed undertakings. Listed SMEs have been removed from the reporting scope.

For non-EU companies, the reporting threshold has been raised from EUR 150 million to EUR 450 million in turnover generated within the EU. Branches are included if they generate more than EUR 50 million in turnover, while the employee threshold for large subsidiaries remains at 250. Listed SMEs are also removed from scope.

Proposed new timeline: This table gives Omnibus proposed reporting timelines, affected entities, and scope changes.

Wave	Entities Affected	Reporting Start Date	Proposed Reporting Timelines	Scope
Wave 1	Large listed companies (>1,000 employees)	2025	No change under "stop-the-clock"	Simplified ESRS reporting; Smaller listed companies out of scope; Value chain responses under VSME
Wave 2	Large companies (>1,000 employees)	2026	Proposed postponed to 2028	Simplified ESRS reporting; Smaller companies out of scope; Value chain responses under VSME
Wave 3	Pre-Omnibus listed SMEs & small financial entities	2027	Proposed postponed to 2029	Out of scope under the revised directive; Value chain responses under VSME
Wave 4	Non-EU companies with significant EU activity	2029	No change under Omnibus package	No change for ultimate parents with at least one large subsidiary or branch (revenue > EUR 50m, total revenue > EUR 450m); Ultimate parents below proposed threshold out of scope after transposition

Value Chain: A value chain cap is proposed to limit the information that reporting entities can request from businesses in their value chain if those businesses are outside the revised CSRD scope. Companies will no longer be required to obtain excessive sustainability data from smaller companies in their value chains. Disclosures will align with a new set of standards based on voluntary SME (VSME) standards.

Reducing ESRS data points: The concept of double materiality assessment remains unchanged. Additionally, the Commission proposes that EFRAG to reduce the data points and revise the ESRS standards. The ESRS framework will be revised to reduce unnecessary disclosures and focus on materiality-driven reporting. The number of required data points will significantly reduce by prioritizing quantitative indicators over narrative reporting.

Assurance: The requirement to transition from limited assurance to reasonable assurance has been proposed, preventing increased audit costs. The requirement for limited assurance is maintained, with targeted guidelines to be issued by 2026. However, the empowerment to adopt reasonable assurance standards by October 2028 is removed.

Sector standards: Proposal highlights the recommendations to remove the empowerment to adopt sector-specific standards to avoid increasing the number of data points required in reporting preventing increased compliance burdens.

b) EU taxonomy

As part of the EU's Sustainable Finance Initiative, the EU Taxonomy Regulation was introduced on 12 July 2020 and became applicable on 1 January 2022 to create a classification system that provides a common language and clear definitions for sustainable economic activities in EU. It sets criteria to determine whether an economic activity qualifies as environmentally sustainable, offering clarity for companies, investors, and policymakers.

Key updates in the proposed amendments

Opt-in Regime:

Companies with >1,000 employees and net turnover < EUR 450m are no longer required to produce Taxonomy reporting but can opt-in to claim alignment. Large companies with more than 1,000 employees but less than €450 million turnover will have a more flexible approach to EU Taxonomy alignment.

These companies will be able to disclose partial alignment with EU Taxonomy technical screening criteria, rather than meeting all criteria at once. The CapEx and OpEx key performance indicators (KPIs) will also be made optional for mid-sized companies.

Simplification of Reporting & Data Reduction:

Reduction of reporting data points by 70%. Streamlined "Do No Significant Harm" (DNSH) criteria in pollution prevention and control provides two options: Remove certain assessment requirements or limit them to substances with harmonized classification under REACH. A draft delegated act reflecting these changes is open for public consultation until 26 March 2025.

Materiality Thresholds Introduced:

Companies with <10% of eligible activities based on key financial indicators are exempt from alignment assessment. Companies with <25% of eligible activities turnover can omit OpEx KPI reporting.

Impact on Financial Institutions:

Exposures to smaller undertakings (less than 1,000 employees) shall be excluded from financial institutions of key performance indicators denominators.

The proposed amendments to the EUTR do not significantly simplify the alignment criteria, except for adjustments mentioned in Appendix C of proposal. While this provides companies with the opportunity to leverage their existing investments toward compliance, it does not fully address the need for greater clarity and simplification in certain criteria. Instead, the proposed changes primarily focus on modifying reporting requirements. As a result, the investments made to achieve alignment remain relevant within the regulatory framework. Consequently, businesses can be assured that their alignment efforts continue to meet the necessary standards, even as reporting obligations evolve.

c) Corporate Sustainability Due Diligence Directive CSDDD

The CSDDD entered into force on 25 July 2024 this directive ensures that affected companies establish proper governance and management systems to address human rights and environmental impacts in their operations, subsidiaries, and global value chains. Additionally, companies must implement a climate change mitigation transition plan. The CSDDD is based on a risk-based approach, allowing companies to prioritize the most severe and likely impacts first. By focusing on responsible business conduct, the EU aims to enhance the long-term attractiveness of business partners and build sustainable, trusted relationships that contribute to resilient global supply chains.

Proposed Changes in the EU Omnibus Simplification Package

- Proposal suggests narrowing the scope for CSDDD. Only large companies with more than 1,000 employees and a turnover above €450 million will now be subject to mandatory due diligence obligations. Companies below this threshold will no longer be required to conduct formal due diligence but may voluntarily implement best practices. The alignment of thresholds with CSRD and EU Taxonomy requirements will help reduce compliance inconsistencies across different sustainability regulations.
- Giving companies more time to prepare to comply with the new requirements by postponing the application of the sustainability due diligence requirements for the largest companies by one year to 26 July 2028, while the adoption of the guidance and best practice on how to conduct due diligence will be published 16 July 2026.
- Previously, companies had to assess risks across their entire supply chain. Under the proposed rules, companies would only need to monitor direct business partners. Indirect suppliers would only need to be assessed if there is credible evidence of human rights violations or environmental harm. This reduces the administrative burden on companies while ensuring major risks are still addressed.
- Previously, companies were required to terminate relationships with non-compliant suppliers as a last resort. The proposed rules would allow companies to continue working with suppliers to resolve issues rather than cutting ties immediately. This helps to prevent job losses in developing economic countries and boosts long-term supplier engagement.
- Proposal demands more clarity on climate transition plans companies would be required to disclose their transition plans for climate change mitigation, aligning with the CSRD framework. Reporting companies would only be required to engage with relevant stakeholders, reducing unnecessary consultations.
- Previously CSDDD required EU member states to impose financial penalties of at least 5% of global turnover for violations. The Omnibus proposal removes this mandatory minimum fine, allowing national regulators more flexibility in setting penalties. Instead, proposal suggests the European Commission to issue guidance on fine calculation to ensure consistency across the EU.

The proposed revisions for CSDDD in the Omnibus Package are extensive, as their approval and implementation would significantly limit the requirement for due diligence assessments on indirect business partners, requiring only limited information from SMEs. Additionally, the revisions include changes that would reduce companies' liability exposure, which could, in turn, lessen incentives for businesses to proactively engage in responsible business conduct.

However Impacted companies coming under scope must establish adequate governance and management systems. Companies need to take appropriate actions to identify and address human rights and environmental impacts within their own operations including their subsidiaries. Direct business partners and global value chains should have plausible information of actual or potential adverse impacts. Therefore, companies are still to be required to map their value chains in areas where adverse impacts are most likely and severe.

d) Carbon Border Adjustment Mechanism (CBAM)

The Carbon Border Adjustment Mechanism (CBAM) is a key component of the EU's strategy to reduce greenhouse gas emissions and achieve its net-zero ambitions. It aims to address the risk of carbon leakage, ensuring that non-EU products compete fairly with EU-based goods while also encouraging global adoption of low-carbon technologies. CBAM provides a stable policy framework to support investment in sustainable technologies within the EU. Designed to expand gradually, it will align with the reduction of free allowances under the EU Emission Trading System (EU ETS) and is expected to cover all EU ETS goods by 2030.

Under CBAM, businesses importing emission-intensive goods into the EU must report the embedded greenhouse gas (GHG) emissions in their products and purchase CBAM certificates accordingly. During the transitional period, financial penalties will be imposed on EU importers for non-compliance or inaccurate reporting, ensuring stricter accountability in carbon emissions management.

The Omnibus Directive proposes key changes to simplify CBAM compliance, improve alignment with the EU Emissions Trading System (ETS), and give businesses more flexibility in adjusting to the new requirements.

- Businesses importing goods covered by CBAM (such as steel, aluminium, cement, fertilizers, electricity, and hydrogen) will have fewer and more streamlined reporting requirements. The revised framework reduces the complexity of calculating embedded emissions in imported products. A single reporting format will be introduced to harmonize emissions declarations across all affected sectors.
- The transition period for CBAM implementation would be extended to allow companies to adjust to new obligations gradually. Instead of an abrupt shift to full financial obligations, companies would report emissions without immediate financial penalties until 2026, when the system will be fully operational. Small and mid-sized importers will receive additional flexibility in complying with CBAM requirements.

- The CBAM reporting framework will be better integrated with the EU ETS, reducing duplicative reporting burdens for companies operating both within and outside the EU. The carbon price applied under CBAM will be directly linked to the EU ETS price, ensuring consistency between domestic and imported products. Companies can use existing carbon accounting systems from the EU ETS to streamline CBAM reporting.
- Importers will be able to demonstrate partial alignment with CBAM requirements rather than needing full compliance immediately. Foreign producers supplying the EU market can showcase progress toward reducing their carbon footprint instead of facing outright trade barriers. Investments in low-carbon technologies and renewable energy sources in exporting countries will be recognized under CBAM, helping companies transition smoothly.

Key aspects of the legislation remain unchanged, with minimal modifications to the products covered under the Carbon Border Adjustment Mechanism (CBAM), though further guidance and potential scope changes are expected by mid-2025. The proposal does not introduce an option for corporate groups to conduct consolidated CBAM reporting, requiring individual entity compliance. Additionally, it does not provide relief measures for carbon-intensive EU manufacturers exporting outside the EU, leaving them subject to multiple layers of carbon pricing at both EU and domestic levels. However, the European Commission is conducting an analysis on potential export reliefs, with additional proposals possibly forthcoming.

e) Investment Opportunities through EU Programs

The Commission is proposing a series of amendments aimed at simplifying and optimising the use of investment programs like InvestEU, EFSI, and legacy financial instruments. InvestEU, the EU's largest risk-sharing instrument, plays a crucial role in addressing financial barriers and driving investments in competitiveness, research, innovation, decarbonisation, environmental sustainability, and skills, with nearly 45% of its operations currently supporting climate objectives.

The proposed changes include increasing the EU's investment capacity by utilising returns from past investments and optimising legacy funds, mobilising an additional €50 billion in public and private investments. These changes will help finance innovative activities aligned with key policies such as the Competitiveness Compass and the Clean Industrial Deal. The amendments also aim to ease Member States' contributions, support businesses, and mobilise private investments, while simplifying administrative requirements for implementing partners, financial intermediaries, and SMEs, resulting in an estimated €350 million in cost savings.

Key implication for business of Omnibus

1. Regulatory Uncertainty

The delay in implementation and adjustments of reporting thresholds shows that fewer companies will be required to comply with sustainability reporting regulations. This may create uncertainty for reporting companies in long-term sustainability strategies, demanding businesses to remain adaptable. Companies that were preparing for comprehensive compliance may need to reassess their sustainability reporting frameworks and resource allocations.

2. Competitive Positioning

Businesses that voluntarily continue sustainability reporting may establish a competitive advantage by showcasing transparency, risk management, and long-term value creation. Companies that deprioritize sustainability reporting due to reduced regulatory pressure could risk falling behind in investor and consumer expectations.

3. Access to Sustainable Finance and Investment

Investors focused on ESG (Environmental, Social, and Governance) factors may place greater emphasis on companies that maintain robust sustainability disclosures, which leads to potentially influencing capital allocation. Simplified regulations may lead to a more efficient deployment of sustainable finance, reducing compliance-related costs for businesses seeking investment.

4. Trade and Supply Chain Impact

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5. Potential challenges for businesses

While the proposal aims to reduce administrative burden, companies will still need to invest in data management systems and sustainability reporting tools. Integrating ESG criteria into business operations and aligning with multiple regulatory frameworks may remain complex. Non-compliance or failure to meet sustainability expectations can damage brand reputation.

Leading a strategic opportunity for companies

- Simplified reporting requirements may reduce administrative costs, allowing businesses to invest in more impactful sustainability initiatives rather than compliance-heavy processes. Improved efficiencies in reporting may lead to better risk management and decision-making capabilities.
- With reduced regulatory compliance burdens, companies can redirect resources toward embedding sustainability into their core business strategy rather than just meeting disclosure requirements. Companies can focus on innovation, green product development, and circular economy initiatives to foster long-term sustainability goals.
- Companies that maintain strong sustainability commitments despite reduced regulatory pressure can strengthen trust with stakeholders, including investors, customers, and employees. Strong ESG positioning can enhance brand reputation, increase customer loyalty, and drive market expansion opportunities.
- Companies that proactively incorporate sustainability into their business models may capitalize on new market opportunities, including green financing, sustainable products, and responsible supply chain solutions. Early adoption of voluntary sustainability reporting could position businesses ahead of future regulatory changes and industry shifts.

Best practices

a) Steps businesses should take to ensure compliance

As discussions around the Omnibus Package continue, companies are reassessing their approach to sustainability reporting. While some may consider delaying their efforts in anticipation of regulatory changes, several factors suggest that maintaining current reporting practices remains essential. To navigate this uncertainty effectively, businesses should take the following steps:

- **Maintain current reporting practices:** Until any regulatory changes are formally adopted, companies are expected to maintain their current sustainability reporting obligations. Delaying compliance efforts could risk non-compliance, as the timeline of the legislative process is uncertain. As the omnibus package is not formally adopted companies that coming under current reporting scope in CSRD, CSDDD is recommended to prepare for reporting, if they fail to comply with current regulation companies might face legal penalties, such as fines, imposed by national authorities. These penalties will vary depending on national laws, but failure to meet reporting obligations could lead to significant financial and reputational consequences. In addition to fines, companies may face restrictions on access to EU funding or investment, further impacting their market position.

- **Monitor legislative developments:** Keep a close eye on the progress of the Omnibus Package and other regulatory changes. Staying informed on evolving timelines and proposals will allow businesses to adjust their strategies when necessary, ensuring they're prepared for any new requirements or deadlines.
- **Invest in transparency and stakeholder communication:** Regardless of potential regulatory changes, sustainability remains a key factor for investors, business partners, and consumers. By maintaining strong transparency in Environmental, Social, and Governance (ESG) reporting, businesses can meet stakeholder expectations and maintain their competitive advantage.
- **Continue to invest in sustainability for business benefit:** Committing to carbon assessments and a focus on sustainability will be crucial for businesses to map out climate-related risks, improve supply chain resilience and, ultimately, focus on creating long-term value for the business and its shareholders.

b) Strategic approach for companies to report on CSRD & CSDDD

The first EU Omnibus Simplification Package poses major changes to sustainability reporting. It is important to note that at this stage its contents are in the form of proposals. The next step in the EU legislative process is a review of them by the European Parliament and the Council of the EU. These bodies will likely table amendments before adoption. This means there is still room for modifications (both major and minor) before the legislation becomes final.

Proactive Compliance Preparation: Businesses under the revised CSRD and ESRS scope must actively monitor legislative developments and prepare for potential amendments before final adoption. Engaging in public consultations and staying updated on the evolving regulatory landscape is crucial. Determine whether your company remains in scope based on the new proposed CSRD thresholds. If excluded, consider whether VSME disclosure aligns with investor and stakeholder expectations.

Impact Assessment & Data Management: According to the Omnibus proposal double materiality remains unchanged. Hence companies who are coming under CSRD scope must continue to conduct double materiality assessment. Conduct double materiality assessments to identify your companies sustainability risks and opportunities. Strengthen data traceability and internal governance frameworks to ensure compliance with evolving reporting obligations.

Adjustment to Staggered Implementation Approach: The Omnibus proposes stop-the-clock mechanism allowing companies to delay CSRD reporting obligations for FY2025 and FY2026, preventing unnecessary compliance costs. CSDDD timelines are extended by one year (July 2028) to ensure synchronized implementation across EU Member States. Companies should use this extended timeline to refine sustainability reporting structures and integrate future regulatory requirements effectively. To adopt to this delaying companies should seek clarity and understand their engage with customers and clients further up value chain for credible position in their market.

Anticipating New ESRS & Voluntary Standards: EFRAG is refining ESRS as proposal request to reduce reporting data points. Businesses should stay informed about the delegated acts and recommendations issued by the Commission to ensure a seamless transition to updated reporting obligations.

CSDDD Implementation Timeline & Guidelines: The Commission plans to release CSDDD compliance guidelines in three phases, starting in July 2026, with the final tranche expected by July 2027. Companies should align due diligence strategies with these upcoming guidelines to meet regulatory expectations effectively.

Align with voluntary standards: Companies may voluntarily adopt sustainability frameworks GRI, ISSB, TCFD to maintain credibility with investors and stakeholders.

With the evolving CSRD and CSDDD frameworks, companies must adopt a strategic, forward-looking approach to compliance. By leveraging the extended timeline, enhancing data management, and staying engaged in regulatory discussions, businesses can ensure full compliance while optimizing costs and sustainability performance.

c) Leveraging data management and ESG analytics for regulatory alignment

Leveraging data management and ESG analytics simplifies the complex process of regulatory alignment by streamlining the collection, processing, and analysis of sustainability data. This approach enables companies to automate tedious reporting tasks, maintain data integrity, and quickly adapt to evolving frameworks like the CSRD, ESRS, and EU Taxonomy Regulation. With robust analytics, businesses can identify key sustainability metrics, perform double materiality assessments, and gain real-time insights to support strategic decision-making, all while reducing manual burdens and minimizing the risk of non-compliance.

At ecoPRISM, our ESG platform automates carbon accounting and sustainability reporting, ensuring seamless regulatory alignment regardless of how the rules change. By integrating advanced data management and analytics, ecoPRISM enables organizations to enhance data traceability, optimize resource allocation, and drive strategic sustainability initiatives. This comprehensive solution not only ensures compliance but also uncovers opportunities for innovation and long-term value creation.

Future outlook of the Omnibus legislative process

The next steps for the EU Omnibus Proposal involve review, potential amendments, and approval by the European Parliament and the Council, where debate and negotiation will shape its final form. Once approved, Member States will be responsible for transposing the Directive into their national laws. The European Commission will then monitor the impact of these changes to ensure the goals of simplification and enhanced competitiveness are achieved, while maintaining the EU's core sustainability objectives and aligning with the broader European Green Deal.

However, while the Commission is pushing for fast-tracking these amendments, the legislative process remains complex, requiring negotiations and approvals from both the European Parliament and the Council of the EU. The proposed “stop-the-clock” directive is a pragmatic move to prevent unnecessary reporting burdens while awaiting the finalization of revised CSRD and CSDDD frameworks. This delay not only provides businesses with much-needed clarity but also allows regulators to refine the sustainability reporting landscape without disrupting existing compliance efforts.

Looking ahead, the success of this initiative will depend on how swiftly political agreements are reached and how efficiently Member States transpose the new rules into national law. While fast-tracking is encouraged, historical precedent suggests that legislative delays and negotiations could still extend the timeline. Companies operating in the EU must closely monitor developments, particularly regarding ESRS refinements, voluntary SME standards, and updated CBAM regulations, as these will significantly influence future compliance obligations. For companies that proactively prepare for these changes will be better positioned to navigate evolving reporting requirements and integrate sustainability into their long-term business strategies.

In conclusion, while the EU Omnibus Simplification Proposal offers a pathway to reducing complexity and easing regulatory burdens, its effectiveness will ultimately depend on timely implementation, clear guidance from regulators, and the ability of businesses to adapt. As the EU continues to advance its sustainability agenda, companies should view these changes not just as compliance obligations but as an opportunity to drive greater transparency, efficiency, and resilience in their sustainability practices.

References and further reading

1. A "stop-the-clock" directive to postpone the effective dates of requirements under the CSRD and CSDDD:
https://commission.europa.eu/document/download/0affa9a8-2ac5-46a9-98f8-19205bf61eb5_en?filename=COM_2025_80_EN.pdf
2. A directive making substantive amendments to the CSRD and CSDDD and their linkage to the Taxonomy:
https://commission.europa.eu/document/download/892fa84e-d027-439b-8527-72669cc42844_en?filename=COM_2025_81_EN.pdf
3. A draft delegated act to revise some of the currently applicable delegated acts under the EUTR: Taxonomy Delegated Acts – amendments to make reporting simpler and more cost-effective for companies
4. Proposal to amend the CBAM Regulation:
https://commission.europa.eu/document/download/606b4811-9842-40be-993e-179fc8ea657c_en?filename=COM_2025_87_1_EN_ACT_part1_v5.pdf
5. The future of European competitiveness: Report by Mario Draghi
https://commission.europa.eu/topics/eu-competitiveness/draghi-report_en#paragraph_47059

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